Arab Open University
Faculty of Business Studies

B205B
Exploring Innovation and Entrepreneurship II

Spring 2025 / 2026
6 – June – 2026
Final Exam / Version B

Number of Exam Pages: 2
(including this cover sheet)

Time Allowed: 3 Hours

Instructions: (Answer ALL Questions)

- Take five minutes to read all instructions carefully, before attempting to write.
- Write your answer using an essay-format, except where calculations are required.
- Mobile phones must be switched OFF mode throughout the examination.
- This is a closed book examination, NO documents of any kind are allowed.
- Make sure to write the number of the question that you answer at the top. If not, it will not be marked.
- Use the Answer Booklet provided to you to answer the questions, and do not forget to write your name and student number in the specified space on the cover of the Answer Booklet.
- Keep in mind that any form of cheating will not be tolerated and will subject you to AOU cheating policy.

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QUESTION 01 – 40 Marks (400 words)

Professor Schwartz's value theory presents a definition of values that highlights six main features commonly noted by many theorists. Explain four key aspects of the nature of values that shape the content and structure of value systems. **(10 marks each)**

QUESTION 02 – 60 Marks (400 words)

FloraNest Co. is a boutique floral shop operating online across the MENA region. You are provided with an incomplete income statement for FloraNest Co. for the year ending December 31, 2023.

Income Statement	**Dec, 2022**	**Dec, 2023**
Revenue	$160,000	$108,500
Cost of Service	$52,000	$54,000
Gross Profit	**(A)**	$54,500
Rent Expense	$4,500	$4,800
Salaries Expense	$5,800	$6,200
Utilities Expense	$2,100	$2,900
Total Operating Expenses	**(B)**	$13,900
Operating Income	$95,600	**(C)**
Interest Expense	$900	$1,400
Net Income	$94,700	**(D)**

- Calculate the missing figures from the income statement. **(20 marks)**
- Analyze FloraNest Co. income statement, as of December 31 and discuss area of strength and weaknesses. **(40 marks)**

End of Questions – Good Luck

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